Month-to-month customers are 51% of the base but 89% of churn

Overview | Churn Drivers | Risk And Actions

Contract
- ☐ Month-to-Month
- ☐ One Year
- ☐ Two Year

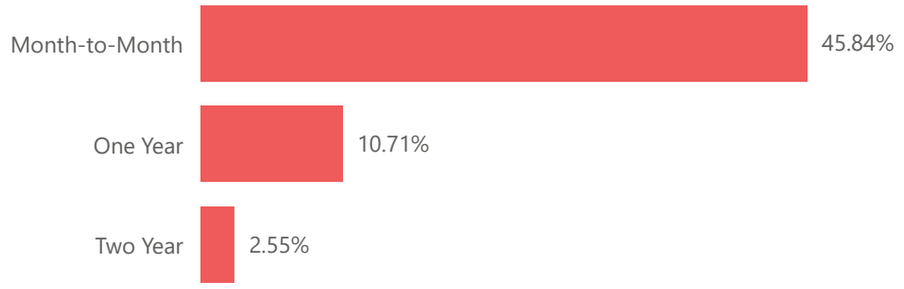
Internet Type
- ☐ Cable
- ☐ DSL
- ☐ Fiber Optic
- ☐ None

Tenure Band
- ☐ 0-12 Months
- ☐ 13-24 Months
- ☐ 25-48 Months
- ☐ 49+ Months

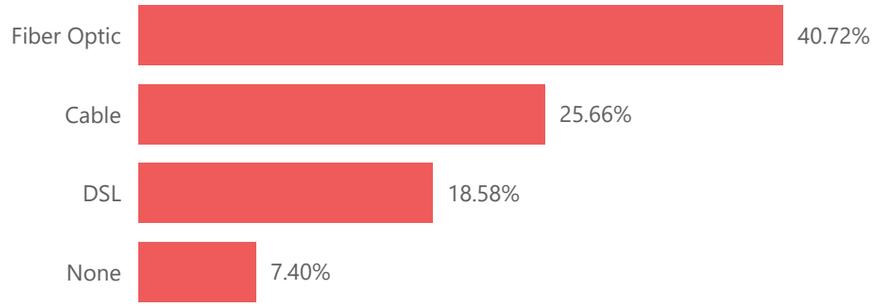
Payment Method
- ☐ Bank Withdrawal
- ☐ Credit Card
- ☐ Mailed Check

7,043	1,869	26.54%	73.46%	139.13K
Total Customers	Churned Customers	Churn Rate	Retention Rate	Monthly Revenue Lost

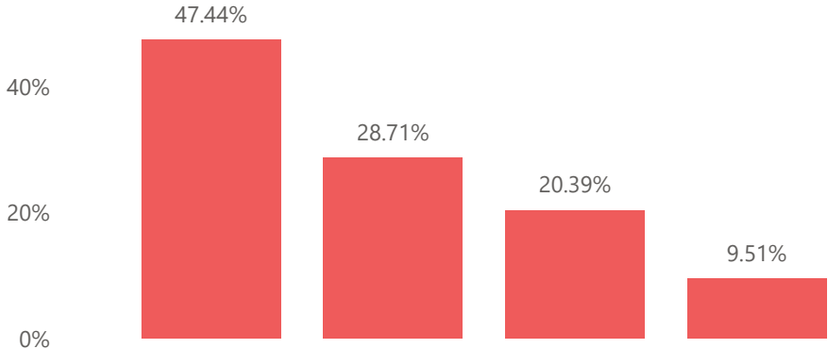
Churn rate by contract type



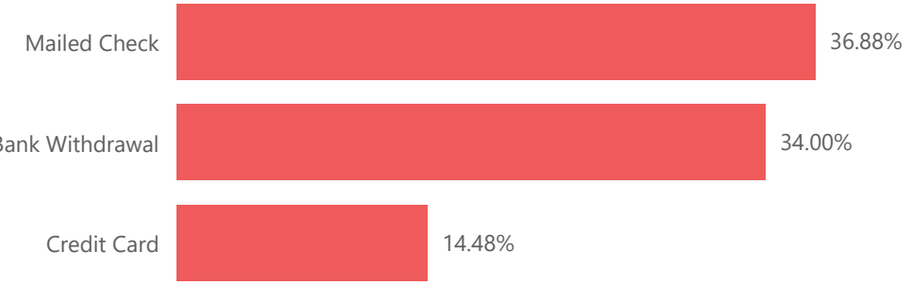
Churn rate by internet type



Churn rate by tenure band



Churn rate by payment method



45% of churn goes to competitors; churned customers pay 21% more

Overview | Churn Drivers | Risk And Actions

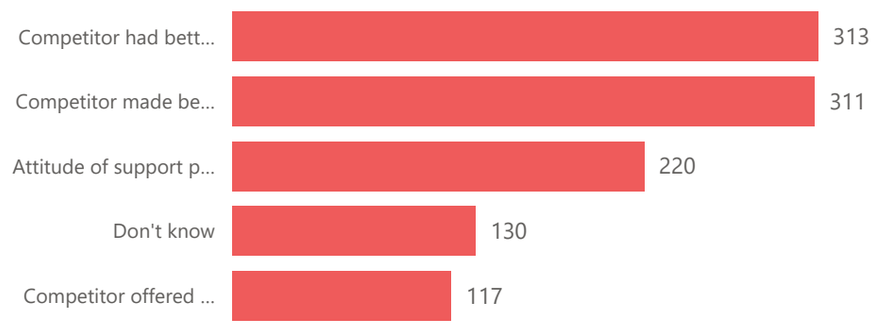
$139.13K monthly revenue lost to churn

+21% extra monthly charge paid by churned customers

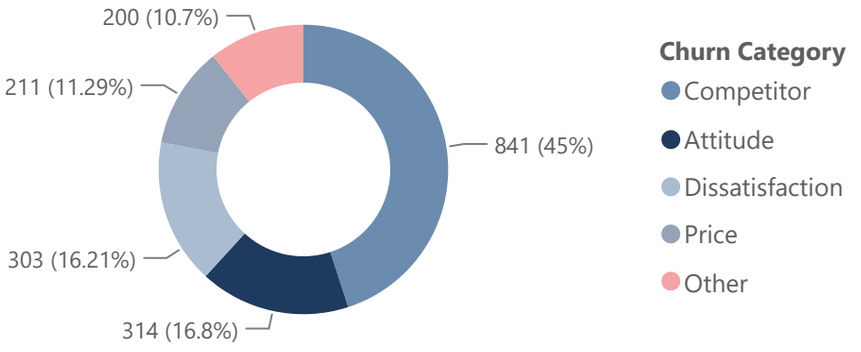
45% of churn goes to competitors

$61.27	1,869	$74.44	139.13K
Avg Charge Retained	Churned Customers	Avg Charge Churned	Monthly Revenue Lost

Top churn reasons

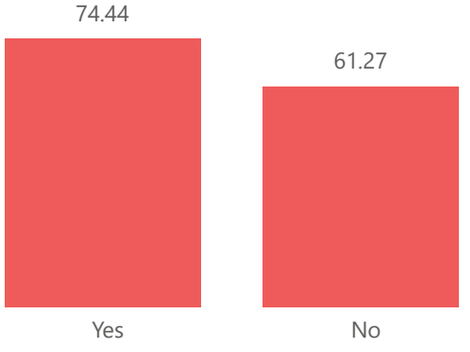


Churn by category



- **Competitors drive 45% of churn, mostly on devices and offers. Action: review competitor offers and give at-risk customers a device upgrade option.**
- **Service problems add about 33% (attitude 16.8% and dissatisfaction 16.2%). Action: improve support follow-up.**
- **Only 11% cite price, yet churned customers pay about $13 more per month. Action: offer contract incentives to high-paying month-to-month customers.**

Avg monthly charge: churned vs. retained



Month-to-month customers are about 7x more likely to churn

Overview | Churn Drivers | Risk And Actions

Recommendations

1. Move month-to-month customers to annual contracts
Month-to-month customers are 7.35x more likely to churn and account for 89% of all churn. Offer a small incentive to switch.

2. Protect high-paying customers from competitor offers
45% of churn goes to competitors, and churned customers pay about $13 (21%) more per month. Offer retention deals and device upgrades before they leave.

3. Bundle online security and tech support
Customers without them are about 2x more likely to churn. Start with a free trial for at-risk customers.

4. Investigate Fiber Optic service quality
Fiber Optic customers are 2.58x more likely to churn (40.7% churn rate vs 18.6% for DSL). Check speed, pricing, and support complaints.

5. Improve support follow-up
Attitude and dissatisfaction account for about 33% of churn. Review how unhappy customers are handled.

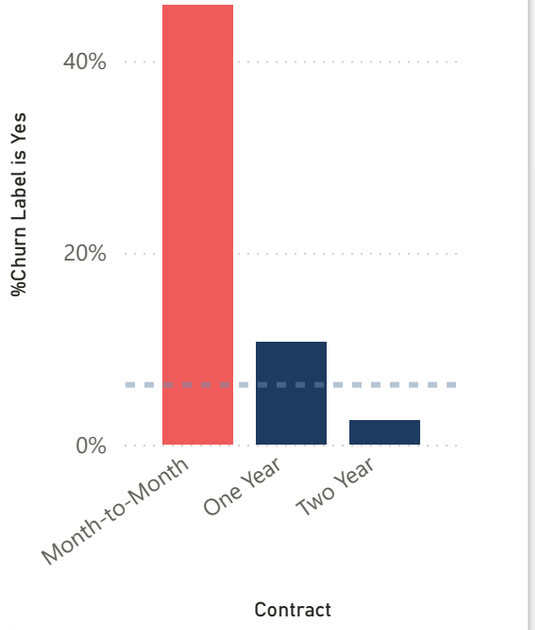
Note: These are associations in the data, not proven causes.

Key influencers | Top segments

What influences Churn Label to be Yes ?

When...	....the likelihood of Churn Label being Yes increases by
Contract is Month-to-Month	7.35x
Dependents is No	5.00x
Internet Type is Fiber Optic	2.58x
Monthly Charge is 68.8 - 106.75	2.35x
Offer is Offer E	2.29x
Online Security is No	2.14x
Premium Tech Support is	

Churn Label is more likely to be Yes when Contract is Month-to-Month than otherwise (on average).



Only show values that are influencers